

One of the most difficult questions for value investors is position sizing and its impact on portfolio diversification and risk. How much can you comfortably own of even the most attractive opportunities? I believe value investors should pack their portfolios with their best ideas; if you can tell the good from the bad, you should be able to distinguish the great from the good. However, one reasonable constraint on bulking up on individual holdings and creating a concentrated portfolio is the accompanying loss of liquidity. It's easier to sell stock representing 1% of a company than 5% or 10%. Investors should have a particularly strong conviction before amassing a highly concentrated position, as it will be much harder to exit.

Another risk consideration for value investors, as with all investors, is whether to utilize leverage. While some hedge funds and even endowments use leverage to enhance their returns, I side with those who prefer not to incur the added risks of margin debt. While leverage enhances the returns of successful investments, it magnifies the losses of unsuccessful ones. More important, nonrecourse (i.e., margin) debt raises risk to unacceptable levels because it jeopardizes one's staying power. Value investors should know that even if they are right in the long run, in the short run a security can trade at any price and holders need to have sufficiently strong footing to weather the worst of the storm. Otherwise, they may have to liquidate their position at a point of maximum loss, well before their insights can be rewarded. One risk-related consideration should be paramount above all others: the ability to sleep well at night, confident that your financial position is secure whatever the future may bring.

THE ACADEMIC VIEW

Although value investing has been a successful discipline for generations, one group largely ignores or dismisses it: academics. There's an old joke about the economist who came across a \$20 bill on